PORTLAND PUBLIC SCHOOLS

PURCHASING & CONTRACTING

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STAFF REPORT

Date: February 9, 2026

To: Policy Committee

From: Paul Williams, Senior Manager, Purchasing & Contracting

Subject: Updates to Public Contracting Rules

In 2010, Portland Public Schools developed and adopted a substantial and comprehensive revision to its Public Contracting Rules. These rules were updated in 2012, 2016, 2019, and 2024 to reflect legislative changes to the state Public Contracting Code (ORS Chapter 279A, 279B, and 279C) and revisions to the Attorney General's Model Public Contracting Rules ("Model Rules").

In late 2023, staff introduced to the Policy Committee an update to the District's 2019 Public Contracting Rules to reflect 2023 legislative changes to the Public Contracting Code as well as improve internal alignment, efficiency, and effectiveness. The Policy Committee forwarded most of the Rules updates and revisions to the full Board, which approved them in February 2024. However, the Policy Committee deferred consideration of a few of the proposed updates – those that touched on Board delegation or review - and recommended that these updates be brought back to the Committee at a later time. Two of those remaining proposed updates for the Policy Committee's consideration are detailed below.[1]

I. Remove Administratively Burdensome Mandate That Does Not Align with the Oregon Public Contracting Code or Attorney General's Model Rules: Amendment Reporting Requirement (PPS 47-0800(4), 48-0320(5)), 49-0910(5))

In 2016, the Board adopted amendment caps for Goods and Services, Architectural, Engineering, and Related Services, and Construction contracts that prohibited amendment to add scope or funds that would cause the total contract price to exceed 125% of the original contract price except in limited circumstances. In 2019, based on staff reports of numerous adverse and unintended results, such as delay of important construction or maintenance projects, the Board removed these amendment caps but added a reporting requirement. This more limited reporting requirement applied only to contracts for which (a) the original contract price exceeded $500,000, (b) amendments caused the new contract price to exceed 125% of the original contract price, and (c) the amendments were <u>not</u> explicitly contemplated and allowed for in a formal solicitation process and resulting contract (as in the case, for example, of a Request for Proposals for a contract for one year with options to renew for up to five additional years). The Rule directs staff to report any such amendments to the Board after the fact.

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[1] Staff are not proposing an increase to the Board approval threshold for revenue and expenditure contracts at this time, based on discussions at recent Board meetings.

Staff recommends removing the reporting requirement for several reasons: (1) The rule is not required by or in included in the Oregon Public Contracting Code or the Attorney General's Model Rules; (2) the Purchasing & Contracting department's actual practice is to take all amendments that exceed 125% of the original contract price back to the Board for approval; (3) a reporting requirement is informational only, after the amendment is signed, and thus has no effect on the contract scope or the District's contracting practices.

II. Bring Offer of Judgment Rule (PPS 45-0200(6)) into Alignment with Board Policy on Liability Claims

In an existing rule (PPS 45-0200(4)(b)(F)), the Board has delegated authority to the Superintendent or designee to make an offer of judgment in the course of litigation when the Superintendent and general counsel determine that such offer is in the best interests of the District. However, PPS 45-0200(6) requires that the general counsel draft a privileged memo to the Board explaining the legal basis for the offer of judgment if such offer exceeds $25,000.

Staff recommends conforming this policy to the limit in 8.60.21-P ($75,000).

ATTACHMENTS

A. Redline of 2024 Public Contracting Rules